ENCAP ENERGY CAPITAL FUND VIII, L.P.

FINANCIAL STATEMENTS

DECEMBER 31, 2021

Report of Independent Auditors

To the General Partner of EnCap Energy Capital Fund VIII, L.P.

Opinion

We have audited the accompanying financial statements of EnCap Energy Capital Fund VIII, L.P. (the "Partnership"), which comprise the statement of assets, liabilities and partners' capital, including the schedule of investments, as of December 31, 2021, and the related statements of operations, of changes in partners' capital and of cash flows, including the related notes for the year then ended (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Partnership as of December 31, 2021, and the results of its operations, changes in its partners' capital and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (US GAAS). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Partnership and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern for one year after the date the financial statements are available to be issued.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with US GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

PricewaterhouseCoopers LLP, 1000 Louisiana Street, Suite 5800, Houston, TX 77002
T: (713) 356 4000, F: (713) 356 4717, www.pwc.com/us

In performing an audit in accordance with US GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Partnership's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

PricewaterhouseCoopers LLP

March 31, 2022

ENCAP ENERGY CAPITAL FUND VIII, L.P.

STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

	December 31, 2021
ASSETS	
Investments, at fair value (cost $1,294,253,486)	$ 1,423,354,227
Cash and cash equivalents	11,250,204
Due from Limited Partners	14,192
Total assets	$ 1,434,618,623
LIABILITIES AND PARTNERS' CAPITAL	
Due to affiliate	$ 47,669
Total liabilities	47,669
Partners' capital:	
General Partner	43,037,129
Limited Partners	1,391,533,825
Total partners' capital	1,434,570,954
Total liabilities and partners' capital	$ 1,434,618,623

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND VIII, L.P.

SCHEDULE OF INVESTMENTS

DECEMBER 31, 2021

	Shares or % owned	Cost	Fair Value	% of net assets
Private equity investment holdings:				
Red Rocks Company, LLC	19.2%	$ 2,999,294	$ 3,124,000	0.2%
Forge Energy Holdings, LLC	40.5%	6,023,401	6,687,000	0.5%
FireWheel Energy, LLC	72.0%	104,562,000	100,448,000	7.0%
PER Manager, LLC	73.0%	583,952,518	1,176,458,000	82.0%
PEP III Holdings, LLC	100.0%	71,957,945	73,605,186	5.1%
Payrock Energy Excluded Assets Holdings, LLC	49.5%	250,064	2,891,000	0.2%
Public equity investment holdings:				
Southwestern Energy Company	7,499,189	337,328,264	34,946,221	2.4%
Earthstone Energy Inc.	2,303,000	187,180,000	25,194,820	1.8%
Total investments		$ 1,294,253,486	$ 1,423,354,227	99.2%

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND VIII, L.P.

STATEMENT OF OPERATIONS

	Year ended December 31, 2021
Investment income:	
Interest	$ 825
Dividend	953,288
Total investment income	954,113
Expenses:	
General and administrative	582,547
Total expenses	582,547
Net investment income	371,566
Realized and unrealized gain (loss) on investments:	
Net realized gain on investments	15,162,913
Net change in unrealized appreciation on investments	685,978,976
Net realized and unrealized gain on investments	701,141,889
Net increase in partners' capital resulting from operations	$ 701,513,455

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND VIII, L.P.

STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Limited Partners	Total
Partners' capital at December 31, 2020	$ 23,970,310	$ 775,040,045	$ 799,010,355
Capital distributions	(1,978,586)	(63,974,270)	(65,952,856)
Net increase in partners' capital resulting from operations	21,045,405	680,468,050	701,513,455
Partners' capital at December 31, 2021	$ 43,037,129	$ 1,391,533,825	$ 1,434,570,954

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND VIII, L.P.

STATEMENT OF CASH FLOWS

	Year ended December 31, 2021
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 701,513,455
Adjustments to reconcile increase in partners' capital resulting from operations to net cash provided by operating activities:	
Proceeds from investments	66,059,022
Realized gain on investments	(15,162,913)
Change in unrealized appreciation on investments	(685,978,976)
Change in operating assets and liabilities	
(Increase) decrease in due from Limited Partners	(5,016)
Increase (decrease) in due to affiliate	(21,379)
Net cash provided by operating activities	66,404,193
Cash flows from financing activities:	
Distributions to partners	(65,952,856)
Net cash used for financing activities	(65,952,856)
Net change in cash and cash equivalents	451,337
Cash and cash equivalents, beginning of period	10,798,867
Cash and cash equivalents, end of period	$ 11,250,204

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND VIII, L.P.

NOTES TO FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund VIII, L.P. (the "Partnership"), a Texas limited partnership, was formed on October 7, 2010 to provide its partners with an opportunity to participate in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the "Partnership Agreement") dated October 7, 2010, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund VIII GP, L.P. ("General Partner"), a Texas limited partnership, is the sole general partner for the Partnership. The Partnership's final close was on January 31, 2011. There are 205 investors owning the limited partnership interests ("Limited Partners", and collectively with the General Partner, the "Partners"). The General Partner's and Limited Partners' total capital commitments to the Partnership are $108.2 million and $3,500 million, respectively. There were no remaining commitments outstanding by the Partners to the Partnership or by the Partnership to portfolio companies.

EnCap Energy Capital Fund VIII-B, L.P. (the "TE Feeder"), EnCap Energy Capital Fund VIII-C, L.P. (the "Foreign Feeder") and EnCap Energy Capital Fund VIII-D, L.P. (the "Treaty Direct Feeder"), affiliated funds, are investors in the Partnership. The TE Feeder's, Foreign Feeder's and Treaty Direct Feeder's ownership in the Partnership's capital are 6.293889%, 18.277571% and 7.498648%, respectively.

The Partnership was to be dissolved upon the expiration of a 10-year period ending October 7, 2020. On October 6, 2020, the Partnership Agreement was amended to extend the life of the Partnership until December 31, 2022. The amendment was approved by greater than 80% of the Limited Partners.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

Inputs are used in applying the various valuation techniques and broadly refer to the assumptions that market participants use to make valuation decisions, including assumptions about risk. Inputs may include price information, volatility statistics, specific and broad credit data, liquidity statistics, and other factors. An investment's level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement. However, the determination of what constitutes "observable" requires significant judgment by the General Partner. The General Partner considers observable data to be that market data which is readily available, regularly distributed or updated, reliable and verifiable, not proprietary, provided by multiple, independent sources that are actively involved in the relevant market. The categorization of an investment within the hierarchy is based upon the pricing transparency of the investment and does not necessarily correspond to the General Partner's perceived risk of that investment.

Partnership investments are valued quarterly by the General Partner. Investment cost and the net realized gains or losses thereon are determined, for financial accounting purposes, on the specific identification method. The Partnership's investments that have been classified within level 3 utilize significant unobservable inputs and trade infrequently or not at all. Level 3 investments may include common and preferred equity securities, corporate debt, warrants and other privately issued securities. When observable prices are not available for these securities, the General Partner uses one or more valuation techniques (e.g., the market approach or the income approach) for which sufficient and reliable data is available. Within level 3, the use of the market approach generally consists of using comparable market transactions, while the use of the income approach generally consists of the net present value of estimated future cash flows, adjusted as appropriate for liquidity, credit, market and/or other risk factors.

The inputs used by the General Partner in estimating the value of level 3 investments included third party engineering reserve reports, oil and gas NYMEX future prices as of the date the valuation is performed, estimated capital expenditures, estimated operating costs, and risk-adjusted discount factors based on whether the reserves are classified as proved developed producing, proved developed nonproducing or proved undeveloped. Other relevant information considered by the General Partner may include the following factors: original transaction price, recent public or private transactions in the same or similar assets, restrictions on transfer, including the Partnership's right, if any, to require registration by the issuer of the offering and sale of securities held by the Partnership under the securities laws; significant recent events affecting the issuer, including significant changes in financial condition and pending mergers and acquisitions; and all other reasonable and customary factors affecting value. The fair value measurement of level 3 investments does not include transaction costs that may have been capitalized as part of the security's cost basis. Assumptions used by the General Partner due to the lack of observable inputs may significantly impact the resulting fair value and therefore the Partnership's results of operations.

Investments may be classified as level 2 when market information becomes available, yet the investment is not traded in an active market and/or the investment is subject to transfer restrictions, or the valuation is adjusted to reflect illiquidity and/or non-transferability.

Investments in restricted securities of public companies cannot be offered for sale to the public until the Partnership complies with certain statutory requirements. The valuation of the securities by management takes into consideration the type and duration of the restriction, but in no event does the valuation exceed the listed price on a national securities exchange or the NASDAQ national market. Investments in restricted securities of public companies are generally included in level 2 of the fair value hierarchy.

Investments whose values are based on quoted market prices in active markets, and are therefore classified within level 1, generally include active listed equities. The General Partner does not adjust the quoted price for such instruments, even in situations where the Partnership holds a large position and a sale could reasonably impact the quoted price.

The following table presents the investments carried on the Statement of Assets, Liabilities and Partners' Capital by level within the valuation hierarchy as of December 31, 2021.

	Assets at Fair Value as of December 31, 2021			
	Level 1	Level 2	Level 3	Total
Investments:				
Private equity holdings	$ —	$ 73,605,186	$1,289,608,000	$1,363,213,186
Public equity holdings	60,141,041	—	—	60,141,041
	$ 60,141,041	$ 73,605,186	$1,289,608,000	$1,423,354,227

The following table summarizes the valuation methodology and significant unobservable inputs used for investments that are categorized within Level 3 of the fair value hierarchy as of December 31, 2021. The disclosure below excludes investments for which fair value is based on unobservable but non-quantitative inputs. Such items include investments for which the determination of fair value is based on prices from prior transactions or third party pricing information without adjustment.

Assets (at fair value)	**Fair Value at December 31, 2021**	**Valuation Techniques(1)**	**Unobservable Inputs(2)**	**Range of Inputs (Weighted Average)**
Investments in Equity of Privately Held Companies	$100,448,000	Recent transactions approximates Fair Value	Recent transactions	N/A
	$1,189,160,000	Income Approach / Discounted Cash Flow Analysis	Discount rate	10%
			NYMEX forward strip oil pricing ($/BO)	$58.57 - $72.69
			NYMEX forward strip gas pricing ($/MMBTU)	$3.03 - $3.66
			Risk adjusted PDP reserves	0%
			Risk adjusted PDNP reserves	20%
			Risk adjusted PUD reserves	80%
			Cash flow multiple	4.0x - 7.0x (5.6x)
		Value of Undeveloped Acreage	Price per acre	$500

(1) In determining certain of these inputs, the General Partner evaluates a variety of factors including economic conditions, industry and comparable companies and company specific developments including growth avenues, exit strategies and realization opportunities. The General Partner also evaluates the following unobservable inputs in considering the fair value of its investments: third party engineering reserve reports, oil and gas NYMEX future prices, risk-adjusted discount factors based on reserve category, capital expenditures and operating costs of the company, financial information obtained from each company including unaudited financial statements for the most recent period available, estimated financial performance and budget to actual variance analysis; current and projected financial condition of the company; current and projected ability of the company to service its debt obligations; type and amount of collateral, if any, underlying the investment; current financial ratios applicable to each investment; pending debt or capital restructuring of the company; projected operating results of the company; current information regarding any offers to purchase the investment; current ability of the company to raise any additional financing as needed. The General Partner has determined that market participants would take these inputs into account when valuing the investment. Once the General Partner has estimated the underlying entities' business enterprise value, a waterfall analysis of the entities' capital structure should be considered. Reserve categories are defined as follows: PDP - proved developed producing, PDNP - proved developed nonproducing, PUD - proved undeveloped, Prob - unproved probable, and Poss - unproved possible.

(2) Significant increases or decreases in any of the above unobservable inputs in isolation may result in a significant lower or higher fair value measurement, respectively.

During the year ended December 31, 2021, there were no purchases of Level 3 investments. The classification of an investment within level 3 is based upon the significance of the unobservable inputs to the overall fair value measurement.

Transfers into and out of Level 3 are recorded at the value of the assets at the beginning of the year. During the year ended December 31, 2021, the Partnership did not have any transfers between any levels of the fair valuation hierarchy. Because of the inherent uncertainty of valuation of these level 3 investments, those estimated values may differ significantly from values that would have been used had a ready market for the investments existed. Such differences could be material.

Concentration of Risk

As the Partnership's investments are primarily in the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

The Partnership's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, the Partnership may not invest more than 15% of total commitments in any one portfolio company without the prior approval of the Advisory Board or 20% of total commitments in any one portfolio company without consent of at least 66 2/3% of the Limited Partners. This policy may subject the Partnership to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by the Partnership may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, the Partnership might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by the Partnership. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash and Cash Equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I ("Fidelity money market account"), a money market fund which contains investments with weighted average maturities of three months or less. As of December 31, 2021, the Partnership has cash in its Fidelity money market account of $11,250,204. The Partnership places its cash and cash equivalents with financial institutions and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expense

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Investment Transactions and Related Investment Income

Investment transactions are accounted for on a trade-date basis. Dividend income is recorded on the record date with the exception of dividend income from marketable securities which is recorded on the ex-dividend date.

Gains or Losses on Investments

Realized gains and losses on investments represent the difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

No provision for federal income taxes is included in the accompanying financial statements. As the Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners.

The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2021, the earliest tax year that remains subject to examination under the standard limitation period is 2018. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

In accordance with a provision of the FASB guidance "Income Taxes", the General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of December 31, 2021. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – INVESTMENT TRANSACTIONS:

The Partnership made equity investments in certain private entities that are primarily engaged in the acquisition, development and operation of oil and gas properties. Generally, the related limited liability company and partnership agreements provide for a specified percentage sharing of revenues and expenses until the Partnership has achieved a specified internal rate of return and return on investment. After this level of return has been achieved, the percentage-sharing ratio is adjusted to provide for an increased allocation to the management group of the investee and a decreased allocation to the Partnership.

Total contributions to and proceeds from investments are as follows:

	Year ended December 31, 2021	
	Contributions	Proceeds
Private equity investment holdings:		
Red Rocks Company, LLC	$ —	$ 781,053
Tracker Resource Development III, LLC	—	1,960,000
Forge Energy Holdings, LLC	—	623,375
FireWheel Energy, LLC	—	1,440,000
Grenadier Energy Partners II, LLC	—	48,465,308
PEP III Holdings, LLC	—	12,789,286
	$ —	$ 66,059,022

In July 2021, Tracker Resource Development III, LLC sold all of its assets to Earthstone Energy, Inc. (“Earthstone”) for cash and Earthstone common shares. At closing the Partnership received 2,303,000 shares of Earthstone. In December 2021, the Partnership received additional sales proceeds of $1,960,000 that was deemed a return of capital.

In April 2021, Grenadier Energy Partners II, LLC sold all of its assets and distributed cash proceeds of $41,944,910 to the Partnership, resulting in a realized gain of $13,021,840. In September 2021, the Partnership received additional sales proceeds of $3,961,078, resulting in a realized gain of $1,761,417. In December 2021, the Partnership received final sales proceeds of $2,559,320, resulting in a realized gain of $379,656.

In April 2021, the Partnership received royalty income from Forge Energy Holdings, LLC of $623,375 that was deemed a return of capital.

In February 2021, the Partnership received a cash distribution from FireWheel Energy, LLC of $1,440,000 that was deemed a return of capital.

During the year ended December 31, 2021, the Partnership received royalty income from Red Rocks Company, LLC of $781,053 that was deemed a return of capital.

During the year ended December 31, 2021, the Partnership received royalty income from PEP III Holdings, LLC of $12,789,286 that was deemed a return of capital.

NOTE 4 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that net increase (decrease) in partners’ capital resulting from operations associated with the Partnership is allocated 3% to the General Partner and 97% to the Limited Partners (“Partners’ Sharing Ratio”) until such time as the Limited Partners receive an 8% internal rate of return on their investment (“Preferred Return Payout”). After Preferred Return Payout is achieved, the General Partner is allocated 80% of all distributions and the Partners are allocated the remaining 20% in proportion to their respective ownership percentages until such time the General Partner has been distributed 20% of total net distributions from the Partnership (“Catch-Up Payout”). After Catch-Up Payout is achieved, cash distributions are allocated 80% to the Partners in proportion to their ownership shares and 20% to the General Partner. Upon liquidation of the Partnership, the General Partner will be required to restore funds to the Partnership to the extent distributions are in excess of 20% of distributions made after Preferred Return Payout. Funds returned to the Partnership for this purpose will be distributed to the Limited Partners in proportion to their aggregate funded commitments.

Net increase in partners' capital resulting from operations was allocated between the General Partner and Limited Partners in accordance with the allocation methodology described above. During the year ended December 31, 2021, the net increase in partners' capital resulting from operations allocated to the General Partner and Limited Partners was $21,045,405 and $680,468,050, respectively.

NOTE 5 – TRANSACTIONS WITH RELATED PARTIES:

The General Partner initially receives an annual management fee equal to 1.5% of total partner commitments, payable in advance at the beginning of each quarter. The initial management fee period expires upon the earlier of (a) five years from the final closing date, (b) the date the fund is fully invested, (c) the date a subsequent fund organized by the General Partner makes its first investment or (d) the occurrence of certain other events as specified in the Partnership Agreement. After such time, the annual management fee is equal to 1.5% of the Partnership's cash investment in remaining portfolio investments reduced by amounts distributed to the extent such amounts constitute a return of capital and any write-down or write-off where the General Partner has determined that such portfolio investment will not be repaid or recouped by the Partnership. The initial management fee period expired on December 19, 2012 upon the activation of EnCap Energy Capital Fund IX, L.P. The management fee paid by the Partnership is reduced in the subsequent quarter by 100% of any transaction fees received by the General Partner. The management fee constitutes full reimbursement by the Partnership to the General Partner for the General Partner's administrative expenses, including, but not limited to, salaries and wages of officers and employees of the General Partner, office rent, utilities and other general, administrative and overhead expenses. In accordance with the Partnership Agreement, amended October 6, 2020, no additional management fees are charged to the Partnership after October 7, 2020 through the remainder of the life of the Partnership.

During the year ended December 31, 2021, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $579,578 for general and administrative expenses. At December 31, 2021, the Partnership owed $47,669 to EnCap for general and administrative expenses.

Managing Directors of the General Partner may serve on the Board of Directors of the Partnership's underlying portfolio companies.

Pursuant to the Partnership Agreement, the Partnership has agreed to indemnify the General Partner and its affiliates against certain losses and other liabilities to which they may become subject in connection with matters arising out of or in connection with the Partnership's business and affairs. The Partnership believes that it is unlikely that it will have to make material payments under these arrangements, and no liabilities related to these indemnifications have been recognized on the accompanying Statement of Assets, Liabilities and Partners' Capital.

NOTE 6 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2021 have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment income ratio	0.0%
Expense ratios:	
Operating expenses	0.1%
Unearned incentive allocation	0.0%
Operating expenses and unearned incentive allocation ratio	0.1%
Internal rate of return net of incentive allocation (Inception to December 31, 2021)	-1.6%
Internal rate of return net of incentive allocation (Inception to December 31, 2020)	-8.5%

The net investment income and expense ratios are calculated for the Limited Partners taken as a whole. The net investment income and operating expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners' capital account, net of all incentive allocations, if any, as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 7 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.

NOTE 8 – SUBSEQUENT EVENTS:

Through March 31, 2022, the date these financials statements were available for issuance, proceeds from investments of $93,869,950 were received by the Partnership.